February 18, 2025

Rep. Ginny Shaver, Chair
Committee on Children & Senior Advocacy
11 South Union St., Suite 426
Montgomery, AL 35130-2950

Rep. Tracy Estes, Vice Chairperson
Committee on Children & Senior Advocacy
11 South Union St., Suite 427-H
Montgomery, AL 35130-2950

Rep. Ben Robbins
11 South Union St., Suite 427-I
Montgomery, AL 35130-2950

RE: Letter in Opposition to Alabama HB 276

Dear Chair Shaver, Vice Chairperson Estes, and Rep. Robbins:

On behalf of the responsible digital advertising industry, we oppose Alabama HB 276.[1] We write to express our significant concerns with the proposed legislation and provide a non-exhaustive list of those concerns below.

We and the companies we represent, many of whom do substantial business in Alabama, strongly believe consumers deserve meaningful privacy protections supported by reasonable government policies and responsible industry practices. However, as presently drafted, HB 276 raises significant First Amendment concerns for Alabama minors and businesses alike, similar to concerns raised by a comparable law in Texas.[2] The bill would also have negative effects on Alabama minors by limiting the content and information available to them. **We therefore respectfully ask you to decline to advance the bill as presently drafted.**

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, publishers, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[3] Our group has more than a decade's worth of hands-on experience it can bring to bear on matters related to consumer privacy and controls.

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[1] Alabama HB 276 (Reg. Sess. 2025), located here.
[2] Wendy Davis, MEDIAPOST, *Judge Blocks Texas Restriction on Targeted Ads to Teens* (Feb. 7, 2025), located here.
[3] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.

I. The bill imposes unconstitutional restraints on access to information by Alabama minors.

HB 276 would prohibit the display of any advertising in an Alabama minor's social media account based on the minor account holder's personal information, except for age and location.[4] This prohibition on use of data for advertising would be overinclusive and therefore unconstitutional. All Americans, including Alabama's minors, have a First Amendment right to receive truthful advertising. It is not clear what governmental interest HB 276's near total prohibition on advertising to Alabama minors in their social media accounts purports to advance, nor can such a ban be narrowly tailored to advance any reasonable state objective.[5] Simply put, the bill's restrictions on the display of advertising to an Alabama minor account holder would violate Alabama minors' First Amendment right to receive lawful information.

II. The bill also imposes unconstitutional restraints on the lawful commercial speech of businesses and nonprofits.

HB 276 would impinge on the First Amendment rights of businesses and mission-driven nonprofits to communicate their lawful messages. Time and time again, courts have affirmed First Amendment protections for commercial speech such as advertising by making clear that consumers, businesses, and society overall have strong interests in the free flow of commercial information.[6] If enacted, HB 276 would prohibit myriad Alabama businesses and nonprofits from efficiently reaching teenagers with their important messages, including churches, emergency assistance humanitarian organizations, housing organizations, educational or trade program opportunities, military recruiters, and countless other charitable organizations on channels frequented by these audiences.

III. The broad sweep of the bill would limit Alabama minors' ability to access important information online.

Outlawing advertising in this proposed manner to Alabama minors through their social media accounts would limit Alabama teenagers from reaching a wealth of information and content that otherwise would be at their fingertips. Furthermore, HB 276 would treat an Alabama 7-year-old the same as a 17-year-old. A one-size-fits-all approach would disadvantage both age groups by failing to account for the significant differences between these groups in terms of their use of the Internet. The bill's ban would hamper older minors' growth by limiting access to information and resources that could be foundational to their maturation, development, and education. It would limit their ability to access information about universities, trade programs, military recruitment, job opportunities, cars, apartments, and other resources for their future. It would also restrict them from being active participants in the digital economy, which could have a significant and negative impact on Alabama businesses. Shrinking the variety of products, services, content, viewpoints, voices,

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[4] HB 276, Sec. 4(3).
[5] *Central Hudson Gas & Elec. Corp. v. Public Service Commission of New York*, 447 U.S. 557, 564-66 (1980).
[6] *See, e.g.*, *Va. Pharmacy Bd. v. Va. Consumer Council,* 425 U.S. 748, 756-57 (1976); *Sorrell et. al. v. IMS Health Inc.*, 564 U.S. 552, 570-71 (2011).

and information 17-year-olds can reach and depriving this cohort of the Internet's vast benefits will not protect them, but instead will ensure they will not have the same experience with the Internet as their contemporaries living in other states.

A federal court in Texas found a similar restriction unconstitutional just this month.[7] The Texas law, which outlawed targeted advertising to minors unless parents provided consent for the activity, was struck down on First Amendment grounds. The court found no specific or compelling state interest articulated for removing teens' access to targeted advertising and stressed how targeted advertising can benefit minors by exposing them to scholarship, learning, and other opportunities. The court also noted that the law provided no justification for limiting a teenager's ability to view targeted advertising on a social media platform when targeted advertisements could reach the minor on a sports or shopping website. HB 276's prohibition is even broader than the invalidated law in Texas, as HB 276 proposes a flat ban on the display of any advertising in the minor's account based on the minor account holder's personal information (except for age and location information), while the Texas law would have allowed targeted advertising with parental consent. As a result, HB 276 is unlikely to withstand legal scrutiny.

IV. A private right of action is an inappropriate form of enforcement for privacy legislation.

As presently drafted, HB 276 would make any knowing or reckless violation of the bill a deceptive trade practice actionable under Chapter 19 of Title 8 of the Code of Alabama 1975.[8] The bill does not clarify that it would not permit a private right of action. We strongly believe private rights of action should have no place in privacy legislation. Instead, enforcement should be vested with the Alabama Attorney General ("AG") alone, because such an enforcement structure would lead to stronger outcomes for Alabama residents while better enabling businesses to allocate resources to developing processes, procedures, and plans to facilitate compliance with new data privacy requirements. AG enforcement, instead of a private right of action, is in the best interests of consumers and businesses alike.

A private right of action in HB 276 would create a complex and flawed compliance system without tangible privacy benefits for consumers. Allowing private actions will flood Alabama's courts with frivolous lawsuits driven by opportunistic trial lawyers searching for technical violations, rather than focusing on actual consumer harm.[9] Private right of action provisions are

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[7] *Students Engaged in Advancing Texas v. Paxton*, 2025 WL 455463 (W.D. Tex. Feb. 7, 2025) (located here).

[8] HB 276, Sec. 11(a).

[9] A select few attorneys benefit disproportionately from private right of action enforcement mechanisms in a way that dwarfs the benefits that accrue to the consumers who are the basis for the claims. For example, a study of 3,121 private actions under the Telephone Consumer Protection Act ("TCPA") showed that approximately 60 percent of TCPA lawsuits were brought by just forty-four law firms. Amounts paid out to consumers under such lawsuits proved to be insignificant, as only 4 to 8 percent of eligible claim members made themselves available for compensation from the settlement funds. U.S. Chamber Institute for Legal Reform, *TCPA Litigation Sprawl* at 2, 4, 11-15 (Aug. 2017), located here.

completely divorced from any connection to actual consumer harm and provide consumers little by way of protection from detrimental data practices.

Additionally, a private right of action would have a chilling effect on the state's economy by creating the threat of steep penalties for companies that are good actors but inadvertently fail to conform to technical provisions of law. Private litigant enforcement provisions and related potential penalties for violations represent an overly punitive scheme that do not effectively address consumer privacy concerns or deter undesired business conduct. They expose businesses to extraordinary and potentially enterprise-threatening costs for technical violations of law rather than drive systemic and helpful changes to business practices. A private right of action will also encumber businesses' attempts to innovate by threatening companies with expensive litigation costs, especially if those companies are visionaries striving to develop transformative new technologies. The threat of an expensive lawsuit may force smaller companies to agree to settle claims against them, even if they are convinced they are without merit.[10]

Beyond the staggering cost to businesses, the resulting snarl of litigation could create a chaotic and inconsistent enforcement framework with conflicting requirements based on differing court outcomes. Overall, a private right of action would serve as a windfall to the plaintiff's bar without focusing on the business practices that actually harm consumers. We therefore encourage legislators to clarify that the bill does not permit a private right of action.

While we agree with protecting Alabama minors online, HB 276 would do the opposite while imposing a severe, unnecessary, and unconstitutional restriction on advertising. We urge you to defend the constitutional rights of Alabama businesses and minors, and we encourage you to take steps to ensure Alabama teens can continue to participate in the digital economy. We ask you to decline to advance HB 276 as presently drafted. We would welcome a meeting with you to further explain our concerns with the proposed legislation.

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[10] For instance, in the early 2000s, private actions under California's Unfair Competition Law ("UCL") "launched an unending attack on businesses all over the state." American Tort Reform Foundation, *State Consumer Protection Laws Unhinged: It's Time to Restore Sanity to the Litigation* at 8 (2003), located here. Consumers brought suits against homebuilders for abbreviating "APR" instead of spelling out "Annual Percentage Rate" in advertisements and sued travel agents for not posting their phone numbers on websites, in addition to initiating myriad other frivolous lawsuits. These lawsuits disproportionately impacted small businesses, ultimately resulting in citizens voting to pass Proposition 64 in 2004 to stem the abuse of the state's broad private right of action under the UCL. *Id.*

Thank you for your consideration of this letter.

Sincerely,

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CC: Members of the House Committee on Children & Senior Advocacy